

Endowment Bias

A wise man should have money in his head, but not in his heart.

—Jonathan Swift

BIAS DESCRIPTION

Bias Name: Endowment bias

Bias Type: Emotional

General Description

People who exhibit *endowment bias* value an asset more when they hold property rights to it than when they don't. Endowment bias is inconsistent with standard economic theory, which asserts that a person's *willingness to pay* for a good or an object should always equal the person's *willingness to accept dispossession* of the good or the object, when the dispossession is quantified in the form of compensation. Psychologists have found, however, that the minimum selling prices that people state tend to exceed the maximum purchase prices that they are willing to pay for the same good. Effectively, then, ownership of an asset instantaneously "endows" the asset with some added value. Endowment bias can affect attitudes toward items owned over long periods of time or can crop up immediately as the item is acquired.

Technical Description

Endowment bias is described as a mental process in which a differential weight is placed on the value of an object. That value depends on whether one possesses the object and is faced with its loss or whether one does not possess the object and has the potential to gain it. If one loses an object that is part of one's endowment, then the magnitude of this loss is perceived to be